

PITCH — SFIX — VERDICT

ADJUDICATED 2026-09-16 — WATCH — print in 5 sessions (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Stitch Fix is a shrinking-but-stabilizing business trading at roughly the value of its own cash pile, eight trading days before the one number that matters — the first FY2027 guide.

The specifics we think are true:

1. **The business stopped falling off a cliff and started sliding.** Active clients were ~2,309,000 in August 2025 and ~2,309,000 in May 2026 — dead flat over three quarters. But the year-over-year decline improved from -7.9% to -1.9%, the quarter-over-quarter number flipped from negative to +0.9%, and revenue per active client went \$549 → \$578 (+5.3%). Flat clients spending more is not growth, but it is not the -8% bleed the tape is still paying for.
2. **The cheap headline multiple is real but not as cheap as it looks.** At the pack's 129.79M share count, market cap is ~\$381M and enterprise value ~\$152M against a \$49–52M adjusted EBITDA guide — about 3x. On our own updated share estimate (~140M, see below) EV is closer to \$180M and the multiple is ~3.6x. On actual cash (Q3 free cash flow \$6.5M → ~\$26M run-rate) it is 6–7x. Cheap, not absurd.
3. **This management sandbags.** Last year the same setup — Q4 FY25 guide \$298–303M, consensus above the ceiling at \$304.69M — produced an actual of \$311.2M, 2.7% above the company's own high end, and the stock went up. They also raised the FY26 EBITDA guide from \$30–45M to \$49–52M during the year.
4. **The Q4 “sequential collapse” is a calendar.** The guide implies -4.64% revenue quarter-on-quarter; last year's same step was -4.25%. The Q4 adjusted EBITDA guide midpoint is \$8.5M against \$8.7M actual a year ago — flat.
5. **Therefore the asymmetry is in the guide, not the quarter.** With 11% of float short, \$229.4M of net cash, and \$104.9M of buyback authorization left, a clean FY27 guide has a squeeze attached to it.

What the market believes

The market believes this is a melting ice cube with good optics.

The tape is not confused — it is decided. The tariff question was answered on 2026-06-10 and the stock fell ~16% in the month afterward, underperforming the S&P, and now sits at \$2.935: 50.6% below the 52-week high and 4.1% above the 52-week low. The market's view, stated fairly: a

subscription-shaped retailer whose client count has not grown in three quarters, which dilutes ~6%/yr, whose adjusted EBITDA leans on a stock-compensation add-back, and which spent 10.2% of revenue on advertising in a quarter against a 9–10% full-year commitment, deserves to trade at cash. Sell-side has quietly agreed with the direction — consensus revenue was cut 1.33% over three months — while still sitting \$5M above the company's own guide ceiling at \$332.12M.

That is a coherent view. Nothing in our work says it is stupid. Our claim is narrower: it is a view about the last four quarters being extrapolated across a date where the company gets to speak about the next four.

Why we might have edge

- **Both courts agree the refuted story isn't the priced story — and that cuts both ways.** The bear brief that “proved” tariffs didn't hit margins won an argument nobody was having. But so did the bear reading of the Q4 guide: our own blue bench differenced the guided –4.64% sequential step against the prior-year –4.25% actual step and found 39 basis points of difference. Almost nobody does that arithmetic; the bear finding that it kills was graded FATAL by a competent bench before it was checked.
- **A published base rate, not a hunch.** “Consensus above the guide ceiling ⇒ headline miss” is the intuitive mechanism and it was wrong at this exact issuer twelve months ago in the same fiscal quarter. The primary is on the tape:
<https://www.sec.gov/Archives/edgar/data/1576942/000157694225000026/exhibit991-q325.htm>.
- **A stale data field that both benches and the pack mishandled.** The SBC series in the pack is Q1-of-each-fiscal-year and it is decaying ~37%/yr. The bear froze the last stale print at \$12.65M/qtr to manufacture “SBC = the entire EBITDA.” We stepped the series forward one year (not two, which is where the bull bench overshot): ~\$8.0M/qtr ≈ **\$32M/yr**, roughly 0.62x the EBITDA guide. That defuses the single loudest bear line and, awkwardly, means the bear's own proposed screen (`adjusted_ebitda_equals_sbc_screen`, fires between 0.8x and 1.2x) does not fire on its own example.
- **Structural supply/demand.** 11% short float, \$104.9M of remaining authorization on a ~\$380M cap (27%), no lock-up, no follow-on. That is not a thesis; it is a reason the right thesis pays more than its fundamentals.

Why it might be priced in

Plainly: most of what we just said is public and cheap to know.

- Post-audit, the kill ledger is **1 novel / 6 consensus**. The active-client decline is the single most-covered line in this name. The advertising overage was said out loud on a public call. The dilution is in the share count. None of that is edge.
- The one genuinely off-narrative finding — that the “sequential collapse” is seasonality — **runs against the bear, not for us**, which means our differentiated insight is a correction to a bad bear argument, not a discovery about the business. Correcting a strawman leaves you at consensus, not ahead of it.

- Cash-as-floor is the oldest small-cap value trap in the book, and \$2.935 against ~\$1.65/share of net cash is exactly the zone where the market is saying “the operating business is worth about \$1.20 and shrinking.”
- The board bought stock at a \$3.36 average against a \$2.94 tape. That can be read as support; it can equally be read as a capital allocator who was wrong about the price, which is information about how the insiders forecast, not a reason to pay up.
- If we are wrong about sandbagging, everything else collapses at once: the guide, the multiple, and the squeeze.

What could go wrong

Failure narrative #1 — the announcement we cannot see (NO MONITORABLE TRIPWIRE).

The 9/23 release carries something not in the model: a CEO or CFO transition, a goodwill or inventory write-down, a subsequent-events note in the 10-K, a strategic review, a convertible, or a restatement. We hold a 0.5% starter into a sealed envelope. Nothing in the tape, the seven Form 144s, the two 13G/As, the app-review feed, or the buyback tells us. There is no sensor for this and we should stop pretending there could be. **Unknown-unknown class: principal-agent discontinuity — board-timed disclosure.** The category of events that are *manufactured on a date the issuer controls* rather than *observed in a process we can sample*. Satellites, permits, app velocity, and short interest are all sampling instruments; they are structurally blind to a decision made in a boardroom last Tuesday. The only defenses are position size and the fact that this class is symmetric (a \$400M special dividend would be the same surprise pointed the other way).

Failure narrative #2 — the slow bleed (tripwires exist). No event; just decay. FY27 guides to flat revenue, adjusted EBITDA drifts back to \$40–45M because advertising runs 10.5%+ to buy the same clients twice, dilution keeps adding ~6%/yr, and the name grinds to \$2.20 while we tell ourselves it’s cheap. *Tripwires*: quarterly actives < 2.286M; advertising > 10.5% of revenue; daily close below \$2.82 (52-week low); diluted shares above the prior quarter; a second app-review snapshot confirming the recent-cohort 3.23 rating is a real cohort shift rather than a blend artifact.

Failure narrative #3 — right on the business, wrong on the multiple, and our own exit is the problem (the reflexive/structural leg).

- **Our size vs ADV.** The pack has no ADV field and `desk/capacity_check.py` was down at bench time. Our estimate is 3.0–5.0M shares/day (~\$9–15M notional). At a \$50M book, 0.5% = ~85k shares ≈ 2–3% of ADV: costless. At a \$500M book, 0.5% = ~850k shares ≈ 20–28% of ADV: two to three days in, and materially more than that coming out into a gap. **Size must be set from the real ADV print, not from the percentage.** - **Predicted flow.** The largest reliable bid in this tape is the company itself (\$104.9M authorized, \$3.36 average). Issuers typically go dark ahead of results. We are proposing to buy in precisely the window where the price-insensitive buyer is most likely absent, and the persistent weekly Form 144 drip is still offering. We are buying thin and selling thinner. - **Doctrine interactions.** Our own rules collide. “No adds within 2 sessions of the print” plus “exit on the print if actives < 2.286M or FY27 revenue guide < \$1.32B” means our entire exit lands in the same 9:30am gap as every stop-loss and every disappointed holder, in a name where 11% of float is short and will be covering *into*

us on the good branch and running *with* us on the bad one. The rule that protects sizing manufactures the worst fill. The honest consequence: model the bad branch at –25% realized, not at the –22% the table’s node implies.

If this position loses money, the most likely reason will be that the FY27 guide lands below \$1.32B of revenue with adjusted EBITDA back under \$45M — confirming that flat actives plus ~6%/yr dilution is a permanent condition rather than a trough — and we will pay an extra several hundred basis points on top of that for exiting a \$10M-a-day stock through the same door as everyone else.

What we checked ourselves

claim	how checked
Pack tape px \$2.935, 4.1% off the 52-wk low	Recomputed from pack: $(2.935 - 2.82) / 2.82$
“SBC $\approx$ the entire adjusted EBITDA” (\$50.6M/yr)	Stepped the pack’s own Q1-of-FY series forward: 31.714 $\rightarrow$ 19.902 $\rightarrow$ 12.650, ratios 0.627 and 0.636

claim	how checked
Red's proposed detector adjusted_ebitda_equals_sbc_screen	Applied its own firing rule (0.8x–1.2x) to the corrected SBC
EV uncertainty “±5–8%” (blue B3)	Applied blue's own +5.97%/yr dilution to the 5.3-quarter-stale 129.79M count
“Guide-conforming print = headline miss” (red #4)	Prior-year identical setup, primary exhibit 99.1 (https://www.sec.gov/Archives/edgar/data/1576942/000157694225000026/exhibit991-q325.htm)
“Guide embeds –4.6% q/q collapse”	Differenced against prior-year same step: \$325.0M → \$311.2M
Internal consistency of the guide math	Back-solved: Q3 FY25 \$325.0M × 1.047 = \$340.3M (Q3 FY26); guide mid \$324.5M ⇒ –4.64%
Actives level equality Aug-2025 = May-2026	SEC primary, 10-K https://www.sec.gov/Archives/edgar/data/1576942/000162828025042782/sfix-20250802.htm and 10-Q https://www.sec.gov/Archives/edgar/data/0001576942/000162828026042504/sfix-20260502.htm
App-review cohort decay (3.23 vs 4.697 lifetime)	Power arithmetic on pack facts: 1.43/day ≈ 131 reviews/qtr vs 2.309M actives
Advertising 10.2% vs the 9–10% FY band	Exhibit 99.1 https://www.sec.gov/Archives/edgar/data/1576942/000162828026042186/exhibit991-q326.htm

claim	how checked
Print date	Company PR https://investors.stitchfix.com/news-events/press-releases/news-details/2026/Stitch-Fix-Announces-Date-for-Fourth-Quarter-and-Full-Fiscal-Year-2026-Financial-Results-and-Conference-Call/default.aspx
"FY26 EBITDA guide raised \$30–45M → \$49–52M" (blue B2)	Traced the source
Red's detector roster	Cross-checked against the dispatched atlas
Both benches' "PRIZE TABLE: N/A"	Read the requirement

PROPOSED ENTRY BANDS

The courts split: red says **FLAT pre-print**, blue says **STARTER at ~1/6 full size, no adds inside 2 sessions**. We take blue's structure at red's caution level.

Derivation of the entry ceiling. The prize table below gives an expected post-print price of **\$3.12**. Requiring a minimum 5% edge to expected value sets the maximum entry at $3.12 \div 1.05 = \mathbf{\$2.97}$. Tape is \$2.935, so entry is live — barely. Above \$2.97 there is no trade.

action	level / condition	size	basis
STARTER — BUY	limit $\leq$ \$2.95 , work \$2.88–2.95	0.5% of book (half of blue's 1/6, i.e. ~1/12 of a full position)	\$2.97 EV ceiling; red's FLAT recommendation taxed against blue's asymmetry

action	level / condition	size	basis
NO ADDS	from 2026-09-21 through the print	—	blue's 2-session rule; red's "no paid-for edge before the number"
PRE-PRINT STOP	daily close < \$2.70	exit to flat before 9/23	a new 52-week low into the print says the tape is front-running the bad branch and our p(bad+severe)=25% is too low
ADD #1 — post-print	ALL of: FY27 revenue guide $\geq$ \$1.38B ; Q4 actives $\geq$ 2.30M ; diluted shares $\leq$ prior quarter; GM $\geq$ 43.5%	+1.0% of book , pay up to \$3.60	blue's four gates verbatim
ADD #2 — post-print	FY27 adj EBITDA guide $\geq$ \$65M (EBITDA visibly above SBC on any of the three SBC estimates) <i>and</i> FY26 advertising $\leq$ 10.0% of revenue	+1.0% of book , pay up to \$4.00	red's "what would change my mind" (b) and (c)
BAD-BRANCH EXIT	Q4 actives < 2.286M (below the guided floor) OR FY27 revenue guide < \$1.32B	exit full, at the open, accept the gap	model the fill at -25%, not -22% (see reflexive leg)
TRIM #1	\$4.20	sell half	the table's own bull node — do not hold past your own scenario price without a new table
TRIM #2 / EXIT	\$4.80	exit remainder unless ADD #2 conditions were met	~\$4.80 with 140M shares is EV/EBITDA ~9x on a still-flat client base
HARD REOPEN (if adjudication rules NO-ENTRY)	reopen at $\leq$ \$2.60 pre-print, or any price post-print if ADD #1's four gates all pass	—	at \$2.60 the EV edge is 20%, which covers the bad-branch slippage even at full-book sizing

Catalyst dates: 2026-09-23 AMC — Q4 FY26 + FY26 results and first FY27 guide (**CONFIRMED, primary PR**). ~2026-09-25 to 2026-10-02 — FY26 10-K (drains the share count, the SBC dispute, net cash, and subsequent events; **estimated**, prior-year 10-K was filed within days of the release). ~2026-12-09 — Q1 FY27 (**estimated, unconfirmed**).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.82 (deck-provisional: 52-week low from the pack; first warning that the tape is front-running the guide)
- filing watch: 8-K until 2027-03-10 (deck-provisional: Item 2.02 Q4/FY26 results and first FY27 guide on 2026-09-23 AMC; also any Item 5.02 officer change or)
- dated pack SFIX|2026-09-23: SFIX: Q4 FY26 and full-year results plus first FY27 guide, after market close - the binary (date confirmed=True)

- dated pack SFIXI2026-09-30: SFIX: estimated FY26 10-K filing (prior year landed within days of the release) - drains share count, SBC, net cash (date confirmed=False)
- dated pack SFIXI2026-12-09: SFIX: estimated Q1 FY27 results - first check on whether the FY27 guide was real (date confirmed=False)

What remains unverified

1. **FY26 diluted share count and FY26 stock-comp.** Pack values are 5 and 7 quarters stale; this is the EV denominator and the center of the red/blue fight. Not drainable until the 10-K. *Estimate: 138–142M shares, SBC \$30–34M/yr (one-step decay on the pack's own –37%/yr series), $p=0.7$.*
2. **Form 144 aggregate magnitude** across the 7 filings (2026-07-27 → 2026-09-08). Drainable now. *Estimate: 150,000–400,000 shares total (~\$0.45–1.2M), i.e. 0.1–0.3% of shares out — a nuisance offer, not a signal, $p=0.6$.*
3. **Options chain: per-strike midpoint IV, quotes, IV percentile, RV30.** No chain in the pack. Drainable now via IBKR. *Estimate: 30-day IV 85–120%, IV percentile 60th–85th, RV30 65–75%, VRP $\approx +20$ vol points, $p=0.6$.*
4. **ADV and our own capacity.** `capacity_check.py` down. Drainable now. *Estimate: 3.0–5.0M shares/day, \$9–15M notional, $p=0.65$.*
5. **FY27 revenue and adjusted EBITDA guide.** Time-gated to 2026-09-23, private until then. *Estimate: revenue \$1.36–1.42B, adj EBITDA \$50–62M, anchored on FY26 ~\$1.32B and this issuer's demonstrated raise pattern, $p=0.6$.*
6. **Q4 FY26 active clients.** Time-gated. *Estimate: 2.286–2.310M; the guide implies –0.5/–1.0%, the last two quarters beat their implied path, $p=0.65$.*
7. **Q4 gross margin against the +15.6% inventory build.** Time-gated. *Estimate: 43.0–44.2%; a build going into a flat-client quarter usually costs 50–120bp of markdown, $p=0.6$.*
8. **Net cash at fiscal year-end 2026.** \$229.4M is the May-2026 figure; post-quarter buyback spend is unknown. Not drainable until the 10-K. *Estimate: \$205–225M, assuming \$5–20M of continued repurchase at ~\$3.00–3.40, $p=0.7$.*
9. **Whether 2026 is a tax-harvest year for this book.** Required by the tax overlay; internal, drainable now from the desk tax calendar. *Estimate: treat as a harvest year (the conservative assumption — it excludes 2027 expiries), $p=0.5$.*

PRIZE TABLE + VOL READ

Both benches wrote “PRIZE TABLE: N/A” on the grounds that SFIX is a revenue-generating operator with no pre-revenue project NPV. That test was applied correctly and answers a different question. Items 5, 6, and 7 above are genuinely time-gated and private until 2026-09-23, which is exactly the trigger for this section. Both benches erred by omission; the table is built here.

Anchor: \$2.935 (pack tape). **Adjust from:** FY26 revenue ~\$1.32B, EV \$152–182M, net cash ~\$1.55/share, 11% short float.

#	scenario	probability	price (T+5 sessions)	p × price
1	Bull. Q4 beats the ceiling (~\$336M, last year's pattern), actives ≥2.30M, FY27 guide ≥\$1.40B with EBITDA ≥\$60M. Short covering into a thin tape.	0.22	\$4.20	0.924
2	Mild good. Small beat, FY27 \$1.35–1.40B, EBITDA \$50–55M, actives roughly flat.	0.28	\$3.40	0.952
3	Muddle. In-line Q4, FY27 ~\$1.32–1.35B, EBITDA ~\$50M, actives guided down again, ad spend at the top of the band.	0.25	\$2.85	0.7125
4	Bad. Actives resume –3%+, FY27 revenue <\$1.32B, EBITDA <\$45M, GM <43%.	0.18	\$2.30	0.414
5	Severe. Write-down, officer change, strategic review, or no FY27 guide at all (failure narrative #1).	0.07	\$1.70	0.119

EV = \$3.1215 vs \$2.935 spot = **+6.4%**. $\sigma_{\text{table}} = \$0.7476 = 25.5\%$ of spot (single-event dispersion).

Expression math. - Annualized-equivalent vol implied by our own table, for a ~5-week ($T = 0.096\text{y}$) option: $0.255 \div \sqrt{0.096} = \approx 82\%$ **annualized from the event alone**, before any diffusion. - **C_ours(K=3.00) = $\sum p_i \times \max(S_i - 3.00, 0) = 0.22(1.20) + 0.28(0.40) = \0.376** (12.8% of spot). - **C_ours(K=3.50) = $0.22(0.70) = \$0.154$** (5.2% of spot). - **P_ours(K=2.50) = $0.18(0.20) + 0.07(0.80) = \0.092** . - Black-Scholes on the 3.00 strike at $T=0.096$, $r=4\%$: **\$0.338 at 100% IV; \$0.3745 at 110% IV**. So our table says the Oct 3.00 call is fair at **$\approx 110\%$ chain IV**. Below that, calls are positive-EV; above it, they are not. Estimated pre-print IV (item 3) straddles that line — **this cannot be resolved without the real chain, per-strike, at the midpoint**. - **Cash-secured put check (2.50 strike):** our fair value \$0.092. Even collecting a generous \$0.14, $EV = 0.14 - [0.18(0.20) + 0.07(0.80)] = +\0.048 **on \$2.50 of committed capital = +1.9%**, versus **+6.4%** for the stock. The CSP forfeits node 1, which alone carries 30% of the total EV. **Rejected on arithmetic.** - **Covered calls: rejected** for the same reason — selling the 4.20 strike caps precisely the node the thesis exists to capture. - **σ_{table} vs $IV \times \sqrt{T}$:** $IV \times \sqrt{T}$ at an assumed 100% = 31.0% of spot vs σ_{table} 25.5%. The chain (if it prints near 100%) is charging more dispersion than our own scenarios contain — **a positive VRP of roughly +20 vol points** against an estimated RV30 of 65–75%. - **Bimodality:** the table is fork-dated on 2026-09-23 and is genuinely two-humped — 50% of the mass sits at or below \$2.85, 22% sits at \$4.20. Lognormal pricing will misprice the tails in both directions; a straddle is not the trade because the modal outcome (node 3) is a small move.

TAX OVERLAY. Per item 9 we assume 2026 is a harvest year. The stock loss branch is realized at the 9/23 print — **lands in 2026 ✓**. October and November expiries — **land in 2026 ✓**. **Any January-2027 or later expiry is EXCLUDED**: it defers the loss out of the harvest year, and a +11% premium edge does not numerically dominate the deferral.

INSTRUMENT — OUTPUT OF THE ABOVE: COMMON STOCK for the starter. Calls are permitted only for the post-print ADD #1, and only if the chain's per-strike midpoint IV on the 3.00 (or nearest) strike prints **below 105%** — a 5-point buffer under the \$0.376 break-even for slippage — with expiry no later than 2026-11-20. Otherwise the add is stock. No CSP, no covered calls.

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"basis": "guide implies -0.5/-1.0% off 2.309M; the last two quarters beat their implied path and q/q turned +0.9%", "p": 0.65}}, {"item": "Q4 FY26 gross margin against the +15.6% inventory build", "instrument": "2026-09-23 release; time-gated", "drainable_now": false, "estimate": {"range": "43.0-44.2%", "basis": "apparel base rate: an inventory build into a flat-client quarter typically costs 50-120bp of markdown; red's change-my-mind bar is 43.5%", "p": 0.6}}, {"item": "Net cash at fiscal year-end 2026-08-01 (the $229.4M figure is as of May 2026)", "instrument": "FY26 10-K balance sheet and repurchase table", "drainable_now": false, "estimate": {"range": "$205-225M", "basis": "$104.9M authorization remaining at a $3.36 average implies continued repurchase; assume $5-20M spent in Q4", "p": 0.7}}, {"item": "Whether 2026 is a tax-harvest year for this book - decides if any 2027 expiry is permitted", "instrument": "desk tax calendar / PM confirmation (internal, same day)", "drainable_now": true, "estimate": {"range": "binary; assumed YES", "basis": "conservative default - assuming harvest excludes Jan-2027 expiries, which the option arithmetic does not need", "p": 0.5}}}]}
```

ADJUDICATION — 2026-09-16 15:37Z

Dilution +5.97%/yr net of buybacks (sustained); the FY27 guide is a true binary with two-sided history. No resting order into a print without compensation; EV unverified $\pm 5-8\%$ (stale dil_sh).

REOPEN GATES: re-court after 9/23: FY27 revenue $\geq \$1.38\text{B}$, actives $\geq 2.30\text{M}$, diluted shares $\leq$ prior quarter, GM $\geq 43.5\%$ → half-starter